

Intellectual Proprietary Trade Secret Information

The content of the materials below constitute Proprietary Trade Secrets of EUS under federal and state law. See, e.g.: ORC 1333.61 et seq. Any use of the information contained herein except by EUS shall constitute misappropriation and result in EUS seeking appropriate remedies, including injunction against any use, damages and attorney fees.

Letter of Intent By Brecksville-Broadview Heights City School District to Effective Utility Services to Develop an Agreement for the Installation of General Primary Electric Service

The intent of the EUS Utility Cost Reduction program is to reduce Brecksville-Broadview Heights City School District's cost of electric energy at various sites without the expense of buying, owning or operating electric equipment that serves its facilities from FirstEnergy's delivery system.

Infrastructure

Equipment: 15-kV distribution equipment for 3500 Oakes Road new Elementary School. Effective Utility Services, LLC will design, build, own, operate and maintain the equipment, including one 6-kW solar tracker.

Costs:

Deposit \$ 18,000 Refundable at End of Term

Energy Conditioning Fee: kWh price paid by the School to EUS for energy passing through the equipment. Monthly minimum kWh of approximately 200,000-kWh at a Conditioning Fee of approximately 1.87¢/kWh. After surpassing the maximum kWh of 24,000,000, the Conditioning Fee will be reduced to approximately 0.575¢/kWh.

Early Termination: Early termination fee is calculated by multiplying the annual minimum kWh times the total number of years in the Agreement, less years and portions thereof completed, plus 2-years. In formula, buy-out = annual conditioning fee x (contract length – years and portions of years completed + 2).
And Purchase Option Option to purchase is 70% of the final year termination fee

Preliminary Payment Terms:

Deposit: If the project cannot be established with a minimum of \$ 15,000/year savings, there is no cost to the School. If a project with \$15,000 /year savings is demonstrated and the School decides not to proceed with said project, the School will pay EUS' expenses to date; not to exceed \$7,000. Expenses include engineering, legal, travel and administrative and will be documented for the School's review.

Conditioning Fee Services Billing: Monthly
Agreement Term: 10-years.
Maintenance: During the term of the agreement, all maintenance and repair provided by EUS.

Agreement^{1,2} The Agreement will be completed concurrent with preparing preliminaries such as FirstEnergy fees and requirements as well as site selection.

IN WITNESS WHEREOF, the Parties, by their duly authorized representatives, have executed this Letter of Intent as of the Signature Date.

Effective Utility Systems

Brecksville-Broadview Heights City School District

By: _____

By: _____

Name: Michael D. Spacek, PE

Name: _____

Title: Director of Energy Services

Title: _____

Date: _____

Date: _____

¹Agreement predicated upon financial review

²This LOI is valid until December 31, 2019